

SAATH · FROM THE SKYWARD PROJECT

# The Skyward Handbook

Everything from the lesson, to keep at home and share with family.

Facts last checked against official sources: October 2026.

## Handling your own money

Budget your money, save before you spend, see the true cost of what you buy, avoid subscription traps, and lend without losing out.

### A budget is a plan

A Budget is not a punishment. It is a short list: money in, money that has to leave, and what can wait. If the list is honest, you see a gap before the month ends, not after. Start with one week. That is enough.

- Write down every rupee that comes in this month.
- List what must be paid: rent, travel, fees, food.
- What is left is yours to plan, not to guess.
- Look at the list once a week. Two minutes is enough.

**Example.** Asha gets ₹3,000 a month. Bus pass ₹600, mess ₹1,500, phone ₹200. She now knows ₹700 is free, so a ₹900 jacket has to wait one month.

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### Needs and wants

Needs are the costs that break your month if you skip them: rent, food, getting to work, a bill that cuts off a service. Wants are real, but they can move to next week. When money is tight, pay needs first. A want is not bad. It is just second.

- A need breaks your day if you skip it.
- A want can move to next week without harm.
- Pay needs first, on the day money arrives.
- Wants are fine. They just come second.

**Example.** Ravi has ₹1,500 left before payday. His electricity bill is ₹1,100 and a dinner out would cost ₹700. The bill is a need. The dinner moves to next month.

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## Pay yourself first

If you wait to save what is left, nothing is left. Paying yourself first means a small transfer on the day money arrives. Even fifty rupees counts. The habit matters more than the size at the start.

- Save on the day money arrives, not at month end.
- Start small. Even ₹50 builds the habit.
- Keep savings apart from spending money.

**Example.** Meena gets ₹2,000 on the 1st. She moves ₹100 to a jar that same morning. In ten months she has ₹1,000 she never missed.

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## The true cost of what you buy

A phone at ₹12,000 can cost ₹15,000 by the time you add a cover, delivery and instalment charges. The true cost is every rupee that leaves your hand because of that one purchase.

- Add delivery, accessories, repairs and recharges to the price.
- On instalments, multiply the monthly amount by the months, then add fees.
- Think in hours of work. How many days of earning does this cost?
- Wait one day before a big purchase. Most urges pass.

**Example.** Riya sees shoes for ₹1,999 with “only ₹350 a month for 6 months”. 350 times 6 is ₹2,100, plus a ₹99 fee. The shoes cost ₹2,199, and she pays ₹200 extra for waiting.

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## Subscription traps

Music, games and video apps often start free and then take money every month through AutoPay. Small amounts are easy to miss, and they add up over a year.

- Before a free trial, note the monthly price and the date it starts charging.
- Set a reminder two days before the trial ends.
- Open AutoPay or Mandates in your UPI app to see every running payment.
- Deleting an app does not cancel it. Cancel the payment itself.

**Example.** Kabir took a 7-day free music trial in June and forgot it. By December he had paid ₹149 six times, ₹894, for an app he opened twice.

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## Lending to friends

Saying yes to a friend feels good. Not getting the money back hurts twice. A few clear habits protect both of you.

- Lend only what you could manage without, even if it never returns.
- Agree on the amount and the return date, and send it as a message.
- Send by UPI, not cash, so there is a record.
- Never borrow from an app or a card to lend to someone else.

**Example.** Aman asks Sara for ₹800 for a trip. Her bus pass is due next week. She says, "I can give ₹300 till the 10th," sends it by UPI and writes the date in the note.

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## An emergency fund

An Emergency fund is for a broken phone you need for class, a sudden ticket home, or a medical bill. It is not for a sale. Keep it somewhere with high Liquidity, such as a savings account, so you can use it the same day.

- An emergency fund is money kept only for sudden needs.
- Start with a first goal of ₹1,000.
- Keep it where you can reach it the same day.
- A sale or a party is not an emergency.

**Example.** Arjun's phone screen cracks a week before online exams. The repair is ₹900. He pays from his jar instead of borrowing from an app.

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## Reading your payslip

A job offer quotes CTC, the cost to company for a year. Your payslip shows something smaller: gross pay, then deductions, then net pay. Net pay is the amount credited to your bank account. Plan rent, EMIs and saving on that number and no other.

- Gross pay is basic pay plus allowances, before anything is cut.
- The employee's provident fund share is 12% of basic wages. It is your own money, saved in your EPF account.
- Tax deducted at source (TDS) is income tax your employer pays to the government on your behalf.
- The employer's own EPF share, gratuity and yearly variable pay are counted in CTC but not paid monthly.
- Keep every payslip. Banks ask for them when you apply for a loan.

**Example.** Verena's offer said CTC ₹4.2 lakh, which is ₹35,000 a month on paper. Her payslip showed gross pay of ₹30,800 and deductions of ₹2,000, so ₹28,800 reached her account. She had signed a ₹14,000 rent agreement on the first number.

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## Money in a family

When two people run a home, money that worked for one person stops working by habit. Somebody has to decide who pays for what, and both people need to know where everything is. The aim is simple: no one in the house should be unable to find the accounts, the policies or the loan papers if the other is ill or away.

- Agree on the shared costs and how each person contributes. A joint account for those costs keeps it visible.
- Each adult keeps an account in their own name as well.
- Keep one list of accounts, policies, investments and loans. Leave passwords and PINs off it.
- Talk about money on a fixed day each month, for twenty minutes.
- Decide large purchases and any loan together, before signing.

**Example.** Verena and Kabir paid bills by feel for three years. After his uncle's death they spent one evening listing every account and policy, updated their nominees, and opened a joint account only for rent, groceries and school fees. Both kept their own accounts.

## Your bank and your paperwork

Open your first bank account, avoid bank charges, act fast when money goes missing, keep your ID safe, keep proof of every payment, and protect your credit record.

### Opening your first bank account

RBI rules let anyone above 10 open and run a savings account on their own, within limits each bank sets. Every bank must also offer a basic savings account with no minimum balance.

- Ask for a Basic Savings Bank Deposit account: no minimum balance and a free ATM card.
- Carry Aadhaar, PAN (or Form 60 if you have no PAN) and two photos.
- Fill the form yourself. Leave no blanks and sign only at the end.
- Name a nominee, and link your own phone number, not an agent's.

**Example.** Pooja, 16, asks the bank for a basic savings account. The officer suggests a “premium” account with a ₹5,000 minimum balance. She says no and opens the basic one with zero balance.

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### Avoiding bank charges

Banks charge for things like falling below a minimum balance, extra ATM withdrawals, SMS alerts and a yearly card fee. Each bank publishes a schedule of charges, and you can ask to see it.

- A basic savings account has no minimum balance, so no penalty for a low balance.
- That basic account allows four free withdrawals a month. Plan your cash.
- Use your own bank's ATM when you can. Other banks' ATMs have a smaller free limit.
- Read your statement once a month and ask about any charge you do not recognise.

**Example.** Imran keeps about ₹800 in an account that needs ₹2,000. The bank takes a penalty every quarter. He moves to a basic savings account at the same branch and the penalty stops.

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## When money goes missing

If money leaves your account and you did not send it, speed decides how much comes back. The national cyber crime helpline is 1930. It works all day, every day, and banks can freeze stolen money if they hear quickly.

- Block first: freeze UPI and the card in your bank app, or call the number printed on your card.
- Call 1930, then file the complaint at [cybercrime.gov.in](https://cybercrime.gov.in). Keep the complaint number.
- Tell your bank in writing the same day. Under RBI rules, reporting within three working days protects you fully when the fault was not yours. From January 2027 the window is five days.
- Never search for a helpline number online. Fake numbers are placed there by scammers.

**Example.** At 4 pm Neha sees a ₹3,000 debit she never made. By 4:10 she has frozen UPI in her bank app and called 1930. The bank freezes the receiving account before the money is withdrawn.

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## Why a PAN exists

A PAN is asked when you open some accounts, take some jobs, or cross a payment limit. It is not a secret you post on a form from a stranger. Share Aadhaar and PAN only on a site you typed yourself, or across a bank counter. A photo in a chat is enough for Identity theft.

- PAN is a ten-character number that links money to you.
- You need it for a bank account, a job and larger payments.
- Aadhaar proves who you are. Share it only where the law asks.
- Never send a photo of either card in a chat to a stranger.

**Example.** A stranger offers Rohan ₹500 for “just a photo” of his PAN and Aadhaar. With those two photos a loan can be taken in Rohan's name. He refuses.

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## Keep proof of every payment

Fees, rent, a deposit, an EMI: when someone says “you never paid”, the person with proof wins. Every UPI payment has a transaction ID you can show.

- For UPI, screenshot the success screen with the transaction ID and date.
- For cash, ask for a signed receipt before you leave the counter.
- Keep fee, rent and loan receipts until the year or the loan is over.
- Put photos of paper receipts in one folder on your phone.

**Example.** Dev pays ₹4,500 hostel deposit in cash and takes no receipt. When he leaves, the warden says the deposit was ₹3,000. Dev has nothing to show.

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## Your credit record

A Credit score and the Credit report report describe loans and cards in your name. Paying on the Due date keeps the story calm. A Default makes the next loan harder and dearer. You can check your own report. If a loan you never took appears, treat it as Identity theft and write to the lender.

- A credit score is a number that shows how you repaid before.
- Paying on the due date keeps it healthy.
- A missed EMI stays on the record for years.
- You can check your own report once a year for free.

**Example.** Farah missed two EMIs on a ₹8,000 phone loan. Three years later a bank offers her an education loan at a higher rate because of that record.

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## UPI, used safely

UPI moves money from your account. You enter the PIN. Nobody from a bank, a shop, or a “refund desk” needs that PIN. If a collect request appears and you did not buy anything, decline it. A refund does not need your PIN.

- You enter your UPI PIN only to send money.
- Receiving money never needs a PIN or a scan.
- Decline a collect request you did not expect.
- Check the name on screen before you pay.

**Example.** A buyer on a resale app says “I sent ₹2,000, enter your PIN to accept.” Pooja declines. Entering the PIN would have sent ₹2,000 out of her account.

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## OTP and PIN

An OTP proves a payment is yours. A PIN does the same inside UPI. Read the message: it names the amount and the payee. If the amount is wrong, do not enter the code. Phishing often arrives as a helpful call.

- An OTP is a one-time key to your money.
- No bank, shop or helpline will ask you to read it out.
- Read the message. It names the amount and who gets it.

**Example.** A caller says Dev's SIM will be blocked unless he shares the code just sent. The message reads "OTP for payment of ₹4,999". Dev hangs up.

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## Tax, in plain words

Tax is what the government takes from income above a threshold. A first salary or part-time income may still be below it, but keep payslips and Form 16 anyway. Do not pay a stranger to "file and get a refund". Refunds come from the official income tax portal to the account you registered there, and that pitch is often a scam.

- Income tax applies only above a yearly income limit.
- Many people on a first salary or a small income owe little or nothing, but should still keep their papers.
- GST is already inside the price of most things you buy.
- Keep payslips and receipts. They prove what you earned.

**Example.** Tara earns ₹8,000 a month from home tuitions, ₹96,000 a year. That is far below the limit, so she owes no income tax. A caller offering a "refund" for ₹500 is lying.

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## What insurance is for

You pay a Premium so that a fire, a hospital bill, or a death does not wipe out the family. The Cover amount is the most the policy will pay. If someone calls a policy "a return like a fixed deposit", ask to see the costs. Mixing Insurance and investment often hides fees.

- You pay a small premium so a big loss does not break the family.
- Sum assured is the most the policy will pay.
- Insurance is protection. It is not a savings plan.

**Example.** A family pays ₹500 a month for health cover of ₹5,00,000. When the father needs a ₹1,20,000 operation, the policy pays the hospital.

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## Health cover, plainly

A health policy pays a hospital bill up to the Cover amount, after any Deductible. Read which hospitals and which illnesses are included. A Claim needs papers. Keep discharge notes. A cheap premium that excludes the local hospital is not a bargain.

- Check which hospitals near you accept the policy.
- Know what you must pay yourself before the policy pays.
- Read the list of illnesses that are not covered.
- Keep every bill and discharge paper for the claim.

**Example.** Ayushman Bharat covers up to ₹5,00,000 a year for families that qualify. Lata checks her family's name on the official site before the hospital visit.

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## KYC: proving who you are

KYC means Know Your Customer. Before opening an account, a bank must confirm your identity and address from an officially valid document. Banks also update KYC from time to time. That part is genuine. What is never genuine is a link, a caller or a stranger asking for your OTP or PIN to "complete KYC".

- Officially valid documents include the passport, driving licence, proof of possession of Aadhaar, voter ID card and the NREGA job card.
- A bank will also ask for your PAN, or a signed declaration if you do not have one.
- Central KYC stores your KYC record once and gives you a 14-digit CKYC number, so other financial firms can reuse it.
- Update KYC at the branch or in the bank's own app that you opened yourself. Never through a link in a message.
- On a photocopy you hand over, write what it is for and the date across it.

**Example.** Verena got a text saying her account would be blocked unless she updated KYC through a link. She called the number printed on her debit card instead. The bank said the text was not theirs, and she updated her KYC at the branch in twenty minutes.

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## Why a nominee matters

A nominee is the person a bank or insurer hands the money to if the account holder dies. Without one, the family must prove their claim, which can take months of paperwork. Naming a nominee costs nothing and takes minutes. Most people skip the line because the form is being filled in a hurry.

- Since 1 November 2025, a bank account can name up to four nominees.
- Nominees can be simultaneous, each with a share that adds up to 100%, or successive, one after another.
- A nominee has no access to the money while you are alive.
- Check nominees after a marriage, a birth or a death in the family.
- Do it for every account, deposit, policy, provident fund and investment, not only the main one.

**Example.** When Kabir's uncle died, his aunt found one account with no nominee. She spent weeks collecting papers to prove she was entitled to money that was plainly hers. That evening Verena found her own salary account still named her mother from ten years before.

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## Government schemes worth knowing

Three central government schemes give basic life cover, accident cover and a pension at very low cost. You join through your own bank or post office, and the premium is debited from your account each year. The figures below are from government sources as checked in October 2026. Rules can change, so confirm at the bank before you enrol.

- PMJJBY: life cover of ₹2 lakh for death from any cause, for ₹436 a year, for account holders aged 18 to 50.
- PMSBY: accident cover of ₹2 lakh for death or total disability, and ₹1 lakh for partial disability, for ₹20 a year, for ages 18 to 70.
- Atal Pension Yojana: a guaranteed monthly pension of ₹1,000 to ₹5,000 after 60, for bank account holders aged 18 to 40 who are not income tax payers.
- Sukanya Samriddhi: a savings account for a girl up to 10 years old, with deposits from ₹250 to ₹1.5 lakh a year.
- These are a floor, not a full plan. ₹2 lakh of life cover will not replace a salary.

**Example.** Sunita cleans three houses and has a Jan Dhan account. For ₹456 a year, debited automatically, she holds ₹2 lakh of life cover and ₹2 lakh of accident cover. She told her daughter where the bank passbook is and that these covers exist, because a claim nobody knows about is never made.

## Borrowing and staying safe

Spot when “pay later” is really a loan, know what it means to sign for someone else's loan, avoid dangerous loan apps, and shut down scam calls, fake jobs and double-your-money schemes.

### “Pay later” is a loan

“Buy now, pay later” and “no-cost EMI” feel like a payment option. They are credit. A lender has paid the shop for you, and you now owe the lender.

- A missed payment brings a late fee and goes on your credit record.
- “No-cost” often hides a processing fee, or removes a discount you would get by paying now.
- Before you tap, ask for the Key Fact Statement. A lawful lender must show the total cost in it.
- Several small pay-later bills in one month add up to one big bill.

**Example.** Tara uses pay-later for food, a recharge and a T-shirt: ₹250, ₹299 and ₹600. On the 5th a single bill of ₹1,149 arrives. She pays four days late and a ₹150 fee is added.

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### Signing for someone else's loan

When a friend or relative asks you to “just sign as guarantor”, they are asking you to carry their loan if things go wrong. It is a favour with your own money at stake.

- If they miss payments, the lender can ask you for the full amount.
- Their missed payments show on your credit record too.
- Read the whole paper. Know the amount, the months and what happens on default.
- It is fair to say no. Offer another kind of help instead.

**Example.** Ravi, 19, signs as guarantor for a cousin's ₹60,000 bike loan. The cousin stops paying after five months. The lender calls Ravi, and a year later Ravi's own loan application is refused.

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## What interest means

When you borrow, Interest is what you pay on top of the Principal. When you save in a bank, interest is what the bank pays you. A low printed rate can still be costly if fees sit beside it. Always ask for the total, not only the percent.

- Interest is the price of using someone else's money.
- When you borrow, you pay it. When you save, you earn it.
- A percent means little alone. Ask for the total in rupees.

**Example.** Borrow ₹10,000 at 12 percent for one year and you pay back about ₹11,200. The extra ₹1,200 is the interest.

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## What an EMI is

An EMI looks small beside the full price. That is the trick. Add every EMI and you see the real Repayment. Before you say yes, write the EMI, the number of months, and the total. If the total surprises you, stop.

- An EMI is the same payment every month.
- Each EMI has some loan and some interest inside it.
- EMI times months gives the real total.
- A small EMI over many months can cost the most.

**Example.** A phone costs ₹12,000. The shop offers ₹1,250 for 12 months. 1,250 times 12 is ₹15,000. The phone costs ₹3,000 more this way.

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## Flat and reducing

A Flat rate charges interest on the full Principal for the whole Tenure. A Reducing balance charges interest only on what you still owe, so the total is usually lower. If a shop says "only 12 percent", ask which kind. Then ask for both totals in rupees.

- Flat: interest on the full amount for the whole time.
- Reducing: interest only on what you still owe.
- The same percent costs much more on a flat rate.
- Always ask which kind, then ask for both totals.

**Example.** ₹1,00,000 at 12 percent for one year. Flat: you pay back ₹1,12,000. Reducing: about ₹1,06,600. The paper says 12 percent both times.

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## Fees change the price

A Processing fee often leaves your hands before the loan does. Add every other charge too. If fees are more than a small slice of the Principal, the loan is dearer than the rate suggests. Ask for a line that lists each fee in rupees, including GST if it applies.

- A processing fee is often cut before you get the money.
- So you receive less, but repay the full amount.
- Add every charge in rupees, including GST.
- Turn the fees into a percent of the loan, so you can compare lenders.

**Example.** Loan ₹50,000. Processing fee ₹1,500 and document charge ₹500. You get ₹48,000 in hand but pay interest on ₹50,000.

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## Reading a fee table

A fee table may list a Processing fee, a document charge, and GST. Write them as rupees and add them. Compare the sum with the Principal. If you cannot tell which line is optional, ask. An optional charge you did not refuse is still your money.

- Turn every percent into rupees.
- Add all the lines: processing, documents, insurance, GST.
- Ask which charges are optional, and refuse those you do not want.

**Example.** A fee table shows 2 percent processing on ₹40,000, a ₹300 document charge and 18 percent GST on both. That is ₹800 plus ₹300 plus ₹198, so ₹1,298 in all.

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## Reading the agreement

A loan paper should name the Principal, the rate, whether it is Flat rate or Reducing balance, the Tenure, every fee, the Penalty, and the rules for Prepayment. Blank lines are not harmless. Do not sign a paper that still has empty boxes for the price.

- Find six things: amount, rate, time, fees, penalty, early closing.
- Check whether the rate is flat or reducing.
- Never sign a paper with blank spaces.
- Ask for a copy. It is your right.

**Example.** Imran's paper names the amount and the EMI but leaves the penalty line blank. He asks the agent to write it in before he signs.

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## Before you sign

Ask who the lender is, what you receive after fees, the total Repayment, the Due date, and what a Late fee looks like in rupees. Ask if Prepayment is allowed. If the answer is "sign now or the offer dies", let it die. Pressure is part of the cost.

- Ask how much reaches your hand after fees.
- Ask for the total you repay, in rupees.
- Ask what one late month costs, in rupees.
- Take the paper home for a day. A fair lender will wait.

**Example.** The agent says the offer ends tonight. Priya takes a photo of the paper, reads it with her mother, and returns the next morning. The offer is still there.

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## Paying early

Prepayment or Foreclosure lets you finish early. Some papers forbid it. Others allow it and then add a fee. If you might receive a scholarship or a first salary, a loan you cannot close early can trap that money in EMI.

- Prepayment means closing a loan before its end date.
- Closing early saves the interest of the remaining months.
- Some papers forbid it or charge a fee for it.
- For a floating-rate loan taken by an individual for a non-business purpose and sanctioned on or after 1 January 2026, banks and NBFCs may not charge for prepayment.

**Example.** Sunil gets a scholarship in month six of a 24 month loan. His paper says prepayment is not permitted, so he must keep paying interest for 18 more months.

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## Loan apps that harm

Some apps offer a quick Personal loan, then raise a huge Late fee and message your family. That is not a normal cost of borrowing. Before you install anything, read who the lender is. If the app wants contacts and photos, stop.

- A real lender is registered. Its name is on the RBI list.
- A loan app does not need your contacts or photos.
- Loans of seven days with huge fees are a warning sign.
- If an app threatens you, tell family and report it at 1930.

**Example.** An app gives Kiran ₹3,000 for seven days, keeps ₹900 as fees, and wants ₹3,000 back. When she is late by a day it messages her whole phone book.

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## Shutting down a scam call

Scam callers pretend to be a bank, the police, a courier or the electricity board. Their script has the same three parts every time: fear, hurry, and a request for money or a code.

- Nobody is ever arrested or questioned over a video call. Hang up.
- If a caller says your KYC, SIM or power will be cut today, it is a script. Hang up.
- Call back yourself on the number printed on your card, bill or passbook.
- Report the number on Chakshu at [sancharsaathi.gov.in](https://sancharsaathi.gov.in). If money is gone, call 1930.

**Example.** A caller in uniform on video tells Arjun's mother a parcel in her name has drugs, and she must "stay on the call and transfer ₹40,000 for verification". Arjun cuts the call. No real officer works this way.

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## Jobs and scholarships that ask for money

A Scholarship is money you receive, not money you send. A job interview does not need a refundable deposit by UPI. If someone rushes you and asks for an OTP, it is not a college and it is not an employer.

- A real job or scholarship never asks you to pay first.
- "Registration fee" and "refundable deposit" are common tricks.
- Check the offer on the official website you typed yourself.
- Being rushed is a reason to slow down.

**Example.** A message says Neha won a ₹50,000 scholarship and must pay ₹499 today to confirm. Her college office has never heard of it. She does not pay.

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## Double-your-money schemes

These schemes pay early members with money from new members, so the first few really do get paid. That is what makes friends and relatives recommend it. When new members stop coming, everyone still inside loses.

- "Guaranteed", "no risk" and "double in weeks" never belong together with real investing.
- If you earn by bringing in more people, the people are the income.
- Check at [sachet.rbi.org.in](http://sachet.rbi.org.in) whether a company is allowed to take deposits.
- A screenshot of someone's profit proves nothing. Screenshots are easy to fake.

**Example.** A senior in Sameer's college turns ₹5,000 into ₹7,500 in a month on a "trading app" and shows everyone. Forty students join. In the third month the app stops opening.

## How money works

Understand why prices rise, why savings need to grow, and who keeps your money safe.

### Inflation, in one page

Inflation means the bus fare and the lunch cost more next year. A savings account may not fully keep up. That does not mean you should chase a Ponzi scheme scheme. First beat chaos with a budget. Then let long-term money take a measured Risk.

- Inflation means prices rise a little every year.
- The same ₹100 buys less next year.
- Cash kept at home slowly loses value.
- Do not chase risky schemes to beat it.

**Example.** A plate of vada pav cost ₹12 a few years ago and costs ₹20 now. The plate is the same. The rupee buys less.

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### Simple and compound

Simple interest is easy to picture: the same extra each year on the starting amount. Compound interest adds the extra back in, so the next extra is larger. For savings, compound helps you. For a forgotten card bill, it works against you.

- Simple interest is charged only on the starting amount.
- Compound interest is charged on the amount plus old interest.
- Compound helps your savings grow faster.
- Compound hurts when a bill is left unpaid.

**Example.** ₹1,000 at 10 percent. Simple: ₹100 every year. Compound: ₹100 the first year, ₹110 the second, ₹121 the third.

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## What a SIP is

A SIP puts a fixed sum into a mutual fund each month. The value can fall. That is the Risk. Over many years, Compound interest may help, but nothing is guaranteed. Use a SIP only for money you do not need soon. Keep the Emergency fund separate.

- A SIP puts a fixed amount into a mutual fund every month.
- The value can go down as well as up.
- It suits money you will not need for five years or more.
- Build an emergency fund before you start one.

**Example.** Vikram starts a ₹500 SIP with his first salary. In a bad year the value falls below what he put in. He keeps going because he will not need it for ten years.

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## Where to keep savings

Money for this month belongs in a savings account. Money you will not touch for a year can sit in a Fixed deposit or a Recurring deposit. Do not chase a high rate that locks you in if you may need the cash. Liquidity has a value of its own.

- Money needed this month stays in a savings account.
- Money for next year can go in a fixed or recurring deposit.
- Bank deposits are insured up to ₹5,00,000 per bank.
- A very high promised return usually hides a risk.

**Example.** Sana saves ₹300 a month for next year's laptop in a recurring deposit at the post office. Her bus money stays in her savings account.

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## Who keeps your money safe

India has public bodies whose job is to protect ordinary savers. Knowing their names lets you ask one powerful question of any offer: who regulates this?

- The Reserve Bank of India (RBI) regulates banks and lenders.
- Deposits in a bank are insured up to ₹5,00,000 per person, per bank, by DICGC. You pay nothing for it.
- SEBI regulates mutual funds and the share market. IRDAI regulates insurance.
- If nobody can name the regulator, keep your money where it is.

**Example.** A small co-operative bank in Lata's town is closed by RBI. Her family has ₹1,80,000 there. Because it is below ₹5,00,000, DICGC pays the full amount back.

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## Planning for a child

A child's biggest financial asset is a parent who keeps earning. So the first step in planning for a child is about the parents: enough life cover and health cover, and no expensive debt. After that, the earlier you start putting money aside for education, the smaller the monthly amount needs to be.

- Raise the parents' life and health cover when a child arrives.
- Start a regular amount for education early, even if it is small.
- For a girl up to 10, a Sukanya Samriddhi account takes ₹250 to ₹1.5 lakh a year, with deposits for up to fifteen years from opening.
- Do not stop your own retirement saving to fund a child's goal.
- Compare any "child plan" with buying cover and investing separately before you sign.

**Example.** When Meera was born, Verena and Kabir first cleared a ₹1.2 lakh credit card bill and raised their own cover. Then they opened a Sukanya Samriddhi account for her and restarted their monthly investment. The agent's child plan waited until they had compared it.

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## Risk and spreading it

Risk is the chance that an investment is worth less when you need it than when you put the money in. Anything that can grow faster than a bank deposit can also fall. You cannot remove risk. You can spread it, so that one bad outcome does not decide everything, and you can give it time.

- Money needed within three years belongs somewhere safe, not in shares.
- Diversifying means holding many different investments, so one failure is a small part of the whole.
- A SEBI study found 93% of individual traders in equity futures and options lost money between FY22 and FY24.
- Nobody can guarantee a return. A guarantee of a high return is a warning.
- Do not invest in anything you cannot explain to someone else in two sentences.

**Example.** Verena put ₹20,000 into one small company on a tip. Six weeks later it was worth ₹12,000. If the same money had been spread across a fund holding many companies, that one company's fall would have been a small dent.

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## Saving for retirement

One day the salary stops and the expenses do not. Retirement saving is the money that pays for those years. India has several long-term routes. Each has its own rules about who can join, how much goes in, and when it can come out. The facts below are from the official sources listed, checked in October 2026.

- EPF: an employee contributes 12% of basic wages and the employer contributes too. Your 12-digit UAN links your PF accounts across jobs.
- PPF: deposit ₹500 to ₹1.5 lakh a year. The account matures after fifteen complete financial years.
- NPS: open to citizens aged 18 to 70. Tier I is the pension account with restricted withdrawals; Tier II is optional and flexible.
- Atal Pension Yojana gives a guaranteed pension of ₹1,000 to ₹5,000 a month after 60, for those who join between 18 and 40 and are not income tax payers.
- Do not withdraw provident fund money when you change jobs. The years of growth cannot be bought back.

**Example.** At 30, Verena withdrew her PF between jobs and spent it on a holiday. At 42 she found her UAN, saw the remaining accounts in one place, left them untouched, and started adding ₹5,000 a month of her own.

